

Australia Chair Daily Brief

AUSTRALIA · NEW ZEALAND · THE PACIFIC ISLANDS

Thursday, September 3, 2026

RE: PIF split over China missile condemnation · Marles, Hegseth flag bigger US force posture in Australia · Solomon Islands no-confidence vote set for Sept 7 · Peters holds 1992 Taiwan protocol for NZ-hosted 2027 PIF · US pledges \$150 million Pacific aid package

ASX 200 **9,020** -0.20% AUD/USD **0.7187** -0.11% NZX 50 **13,846** -0.24% NZD/USD **0.5865** -1.51%

BRENT **96.30** +6.42%

TODAY AT A GLANCE

- 1 Australia and Palau pushed Pacific Islands Forum leaders to formally condemn China's July missile test at the Koror retreat on September 3, with Kiribati and Nauru again refusing to back a joint statement.
- 2 Defence Minister Richard Marles and US Secretary of Defense Pete Hegseth agreed in Washington to expand US force posture in Australia beyond existing Darwin Marine rotations and the Submarine Rotational Force-West at HMAS Stirling, with further announcements flagged for coming months.
- 3 Solomon Islands Prime Minister Matthew Wale sacked Finance Minister Gordon Darcy Lilo this week after three ministers resigned, cutting his governing majority to 29 seats ahead of a no-confidence motion due September 7.

TOP STORIES

US-CHINA-PACIFIC

Australia and Palau press PIF for condemnation of China's missile test, Kiribati and Nauru resist

Australia and Palau pressed Pacific Islands Forum leaders at their September 3 retreat in Koror to formally condemn China's July missile test, in which a PLAN submarine fired a missile with a dummy warhead more than 7,000 kilometers, landing just outside Tuvalu's exclusive economic zone. Kiribati and Nauru again declined to back a joint statement, as they did at last month's PIF Foreign Ministers Meeting. Prime Minister Anthony Albanese said he wants a "very strong" statement and rejected comparisons to US missile tests.

So what: The disagreement is being resolved during the forum's final day before the chair passes from Solomon Islands to Palau's Whipps Jr.

Pattern: Albanese first threatened a strong joint statement over the missile test in July and has repeated the threat without securing forum-wide agreement since, per SMH reporting.

per SMH Federal Politics (Matthew Knott): "'No respect': Albanese blasts China missile-testing, rejects US comparison" · also ABC News: "Australia pushes for condemnation of China's missile test"

US-AUSTRALIA

Marles, Hegseth flag bigger US military presence on Australian soil

Defence Minister Richard Marles met US Secretary of Defense Pete Hegseth in Washington to discuss expanding US force posture in Australia, on top of existing Marine rotations through Darwin and the Submarine Rotational Force-West at HMAS Stirling. About 1,000 US Navy personnel are due at Stirling from next year to support Virginia-class submarine operations. Marles said further posture announcements, potentially including missile production, are expected in coming months.

So what: The expansion would land alongside decisions Marles and Foreign Minister Penny Wong are expected to unveil at their next meeting with US counterparts.

per ABC Politics: "US declares it will accelerate military presence in Australia" · also AFR: "Marles, Hegseth flag US military ramp-up on Australian soil"

PACIFIC-POLITICS

Solomon Islands PM Wale sacks finance minister as no-confidence vote looms

Solomon Islands Prime Minister Matthew Wale sacked Finance Minister Gordon Darcy Lilo on Wednesday, hours after Lilo said he felt obliged to back a no-confidence motion led by fellow party member Manasseh Maelanga. The motion is expected to be tabled Monday, September 7. Three ministers, including Maelanga, have resigned this week, and Wale has elevated three backbench MPs to replace them, cutting the government's majority from 33 to 29 seats.

So what: The September 7 vote will test whether Wale's reduced 29-seat majority can survive further defections from his own coalition.

per RNZ Pacific: "Sacked Solomon Islands Finance Minister says Cabinet revolt is imminent"

OVERNIGHT

Veitacini Treaty to fund Fiji maritime bases, cyber defence

Fiji Defence Minister Pio Tikoduadua says the Veitacini Treaty with Australia will fund aviation, drone-based maritime surveillance, cyber defence and new operating bases in the North, Rotuma, Lau and West over the next decade. He rejected claims closer ties compromise the Republic of Fiji Military Forces' independence, saying Australian personnel operating in Fiji remain subject to Fijian law.

PACIFIC-POLITICS · ISLANDS BUSINESS

Guam governor calls for full PIF membership

Guam Governor Lou Leon Guerrero told the Forum's Leaders' Dialogue with Associate Members that the territory's political status should not determine whether its voice is heard, calling for full Pacific Islands Forum membership. American Samoa and Tokelau representatives made similar appeals; Guam currently holds associate member status.

PACIFIC-DIPLOMACY · RNZ PACIFIC (WIRE)

Melanesian states threaten review of Indonesia's MSG status

Melanesian Spearhead Group members say Indonesia's associate member status will be reviewed if Jakarta does not facilitate a long-requested UN human rights visit to West Papua before the MSG's next summit in 2027. Full MSG members are Papua New Guinea, Fiji, Solomon Islands, Vanuatu and New Caledonia's FLNKS Kanak Movement.

US-CHINA-PACIFIC · PACIFIC ISLAND TIMES

US pledges over \$150 million in infrastructure, energy, maritime aid to Pacific

Deputy Secretary of State Christopher Landau announced more than \$150 million for Pacific infrastructure, energy and maritime security at the PIF Partners Dialogue in Koror, including a \$60 million energy security initiative tied to the global energy crisis and \$17 million against illegal fishing. The State Department said the package aims to deliver "economic prosperity and security for Americans and Pacific Islanders."

TRADE-ECONOMY · ABC PACIFIC

Pacific agricultural exports to Australia triple in five years

A Pacific Trade Invest report shows Pacific agricultural exports to Australia have more than tripled over five years, though exporters still face climate, remoteness and biosecurity hurdles. Report co-author Tim Martin said trade expos, including a recent Melbourne showcase, help Pacific vendors reach Australian buyers directly.

AUKUS WATCH

PILLAR 1 · SMH FEDERAL POLITICS

Former officials warn AUKUS exposes Australia to great-power war without a veto

Prominent former public servants, including Michael Keating and Mike Pezzullo, warn that AUKUS exposes Australia to being drawn into great-power conflict without a veto over how its submarines are used. Their concerns center on Canberra's lack of control under the tripartite arrangement with the United States and United Kingdom.

PACIFIC WIRE

SOLOMON ISLANDS · ISLANDS BUSINESS

Pacific ministers urge investment in regional fisheries surveillance centre

Solomon Islands Foreign Affairs Minister Rick Houenipwela told a Forum Fisheries Agency side event in Koror that governments and partners must invest in a modernized Regional Fisheries Surveillance Centre, based at FFA headquarters in Honiara, to counter changing illegal fishing practices. He said a "future-fit" centre needs resilient infrastructure and sustained access to surveillance assets.

MARSHALL ISLANDS · ISLANDS BUSINESS

Heine presses climate and maritime priorities with Japan on PIF sidelines

Marshall Islands President Hilda Heine met Japan's State Minister for Foreign Affairs Iwao Horii in Palau, raising climate-resilient infrastructure, renewable energy, maritime cooperation and digital connectivity. Heine welcomed expanded

Japanese private-sector investment and reaffirmed appreciation for Tokyo's commitment to a "peaceful and rules-based Indo-Pacific."

VANUATU · ISLANDS BUSINESS

Vanuatu files ICJ case over Matthew and Hunter Islands claim against France

Vanuatu lodged an application with the International Court of Justice on August 31 seeking sovereignty over the uninhabited Matthew and Hunter Islands, claimed by France as part of New Caledonia. Delegation head Ralph Regenvanu said Vanuatu walked away from stalled bilateral talks; the case requires France's consent to proceed, which it has not yet given.

FIJI · FIJI SUN

Fiji's Constitutional Review Commission report to reach Cabinet September 9

Prime Minister Sitiveni Rabuka says the Constitutional Review Commission report will be released publicly only after Cabinet review, now scheduled for September 9 instead of the previously flagged date, "to give everybody more time to read it." Rabuka said the report would also go before a national committee and be debated in Parliament in full, rejecting calls for selective early release.

FIJI · FIJI SUN

Rabuka denies China influenced decision to skip PIF summit

Prime Minister Sitiveni Rabuka denied that Beijing influenced his decision to skip the Palau Forum meeting, saying he stayed in Fiji to receive the Constitutional Review Commission report instead. His absence comes as China's special envoy warns of "consequences" over Taiwan's attendance at the summit hosted by Palau, one of three Forum members recognizing Taipei.

PALAU · ISLANDS BUSINESS

Pacific Resilience Facility marks treaty entry into force with pilot grants

Two pilot community grants in Palau are among fourteen initiatives across nine Forum member countries funded by the newly operational Pacific Resilience Facility, a Pacific-controlled climate financing vehicle. In Palau, a small grant helped the Ngrangmui Women's Group revive traditional mesei taro-patch irrigation, which traps sediment before it reaches coastal reefs.

NEW ZEALAND

NZ-FOREIGN-POLICY · RNZ POLITICAL

Peters says 1992 Taiwan protocol will apply at NZ-hosted 2026 PIF

Foreign Minister Winston Peters said a long-standing protocol dating to 1992 will govern Taiwan's status when New Zealand hosts next year's Pacific Islands Forum, giving Taiwan the chance to visit and meet leaders but not attend formal meetings. Taiwan's foreign minister, Lin Chia-lung, attended this year's Palau-hosted forum after Palau's invitation and told Australian media he wants to attend New Zealand's meeting too.

NZ-POLITICS · RNZ PACIFIC (WIRE)

Luxon defends deploying second RNZAF plane to PIF after criticising Hipkins for it

Prime Minister Christopher Luxon defended sending both RNZAF Boeing 757s on New Zealand's 88-person PIF delegation, calling it a Defence Force decision driven by the meeting's remote location and limited air services. Luxon had previously criticised then-PM Chris Hipkins for using a back-up plane on a 2023 trip to China.

CHINA IN THE PACIFIC

PALAU · OTHER · REUTERS

Beijing accuses PIF host Palau of 'hype' over missile test criticism

China accused Pacific forum host Palau of "hype" over its July missile test as the PIF chair urged a united front among leaders in Koror. The exchange underscores the split among Pacific states, with Australia and Palau pressing for

condemnation while Kiribati and Nauru resist.

BUSINESS AND ECONOMY

TRADE-ECONOMY · REUTERS

Outback gas players eye Northern Territory to bypass data centre power queue

Gas producers in Australia's outback are targeting the Northern Territory to supply data centres directly, sidestepping congested grid connection queues in southern states. The move reflects growing pressure on Australia's energy system from AI-driven data centre demand.

TRADE-ECONOMY · ISLANDS BUSINESS

Singapore floats Pacific power grid linked to Australia

Singapore's Foreign Affairs Minister Vivian Balakrishnan proposed an interconnected Pacific power grid linked to Australia, on the sidelines of the Koror forum, arguing it could lower electricity costs and reduce reliance on diesel. He compared the idea to ASEAN's own power grid ambitions, citing economies of scale from a wider daylight spread.

PRIMARY DOCUMENTS

STATEMENT · TAIPEI TIMES

State Department ties \$150 million Pacific package to Taiwan-partnered Palau projects

The US State Department's "Promoting Pacific Prosperity" statement confirmed two Palau projects run in partnership with Taiwan as part of the more than \$150 million pledged at the PIF Partners Dialogue. The department framed the commitment as central to an "America first" foreign policy in the Pacific.

"The United States' continued participation in the Pacific Islands Forum reflects the importance we place on the Pacific islands as a vital part of the Indo-Pacific region. When the Pacific islands are stable, secure and prosperous, the United States is too."

MINISTERIAL TRANSCRIPT · TAIPEI TIMES

Taiwan's foreign minister thanks Palau for rare PIF appearance

Taiwan Foreign Minister Lin Chia-lung thanked host Palau for enabling his attendance at the PIF opening ceremony despite Taiwan not being a Forum member, an appearance China's special envoy Qian Bo said raised "serious concerns." Taiwan has been a PIF development partner since 1993 but rarely attends official meetings.

"I am very happy to be able to participate in this year's Pacific Islands Forum, and I have to give special thanks to the host country Palau for the arrangement."

CALENDAR WATCH

7 Nov 2026

New Zealand general election

Advance voting opens October 26; the Luxon-led National-ACT-NZ First coalition faces re-election.

7 Sep 2026

No-confidence motion against Solomon Islands PM Matthew Wale

Wale's governing majority has fallen to 29 seats after three ministers resigned this week.

9 Sep 2026

Fiji Cabinet to receive Constitutional Review Commission report

Rabuka says the report will be released publicly only after Cabinet review, with debate to follow in Parliament.

through September
4, 2026

55th Pacific Islands Forum Leaders Meeting concludes in Koror, Palau

The Forum chair passes from Solomon Islands' Manele to Palau's Whipps Jr as leaders finalize their position on China's missile test.

by the 2027 MSG
summit

Deadline for Indonesia to facilitate a UN human rights visit to West Papua

Melanesian Spearhead Group members say Indonesia's associate member status will be reviewed absent progress.

ALSO TODAY

ASPI STRATEGIST

Fault Lines: ROK exercises, Paracels construction, and PIF tensions

ASPI's Defence Strategy Program fortnightly wrap covers developments from August 21 to September 3, including South Korean military exercises, Chinese construction in the Paracels, and the frictions running through this year's Pacific Islands Forum.

DEVPOLICY BLOG

Porgera and Lihir mines show divergent education legacies for PNG

A Devpolicy analysis compares two PNG goldmine-funded education schemes, finding Lihir's scholarship program has flourished while Porgera's trust fund has faltered. The authors, writing under the ANU-UPNG Partnership funded by DFAT, draw lessons for other resource-dependent communities.

ANALYSIS AND OPINION

ASPI STRATEGIST

Preserving freedom to govern in the face of economic coercion

The piece rebuts the argument that China's economic coercion against Australia is simply retaliatory, arguing this framing lets Beijing set the terms of acceptable Australian policy. It contends the lesson drawn from past episodes, that Australia should avoid offending China, undermines the country's freedom to govern.

Argument: The recurring claim that Beijing's economic coercion of Australia is merely a reaction to Australian provocation misreads the purpose of coercion, which is to constrain policy choices regardless of the trigger.

So what: Frames the debate over how Canberra should respond to future coercion attempts without ceding policy autonomy.